

STERLING CAPITAL GROUP, INC.

Annual Report

For the Fiscal Year Ended May 31, Year 3

Selected Excerpts — Financial Statements and Notes

Incorporated under the laws of the Commonwealth of Massachusetts

Principal Executive Offices: 88 Beacon Street, Boston, MA 02108

Common Stock listed on the New York Stock Exchange under symbol "STCG"

Consolidated Statement of Operations

The following summary presents key results of operations for the fiscal years ended May 31, Year 3 and May 31, Year 2. All amounts are stated in U.S. dollars.

	FY Year 3	FY Year 2
Net revenues	\$ 84,200,000	\$ 76,500,000
Operating income	\$ 12,640,000	\$ 11,420,000
Income before income taxes	\$ 8,250,000	\$ 7,500,000
Provision for income taxes	(2,750,000)	(2,500,000)
Net income	\$ 5,500,000	\$ 5,000,000
Less: Preferred stock dividends declared and paid	(100,000)	(200,000)
Net income attributable to common shareholders	\$ 5,400,000	\$ 4,800,000

Net income for fiscal Year 3 increased 10.0% over fiscal Year 2 (\$5,500,000 in Year 3 compared with \$5,000,000 in Year 2). The change in preferred stock dividends reflects the partial redemption of preferred shares effective June 1, Year 2 (see Note 5).

The Company had no outstanding indebtedness during fiscal Year 2 or fiscal Year 3.

Notes to the Consolidated Financial Statements

Note 5 — Preferred Stock

(a) Authorization and Outstanding Issue. The Company is authorized to issue 50,000 shares of preferred stock, par value \$100.00 per share, bearing a fixed annual dividend rate of 10.0% on par value. Throughout fiscal Year 2, 20,000 shares of preferred stock (representing aggregate par value of \$2,000,000) were issued and outstanding.

(b) Partial Redemption. On June 1, Year 2, the Company redeemed one-half of its outstanding preferred stock at par value, reducing the number of preferred shares outstanding from 20,000 to 10,000 (aggregate par value reduced from \$2,000,000 to \$1,000,000). The redemption was funded from available cash. The remaining 10,000 preferred shares continued to bear the 10.0% annual dividend rate. Accordingly, throughout fiscal Year 3, 10,000 preferred shares (\$1,000,000 par value) were issued and outstanding.

(c) Preferred Dividends. The annual preferred dividend obligation is computed as 10.0% of the aggregate par value of preferred shares outstanding for the period. The following table summarizes preferred dividends declared and paid during the fiscal years presented:

	FY Year 3	FY Year 2
Preferred shares outstanding during the period	10,000	20,000
Aggregate par value outstanding	\$1,000,000	\$2,000,000
Dividend rate	10.0%	10.0%
Preferred dividends declared and paid	\$ 100,000	\$ 200,000

Notes to the Consolidated Financial Statements (continued)

Note 6 — Common Stock and Stock Split

(a) Three-for-One Stock Split. On June 1, Year 2, the Company effected a three-for-one stock split of its common stock. Each common shareholder of record as of May 31, Year 2 received two additional common shares for each share held. As a result of the split, the number of common shares issued and outstanding increased from 1,000,000 to 3,000,000. Throughout fiscal Year 3, 3,000,000 common shares were issued and outstanding. No additional common shares were issued or redeemed during fiscal Year 3.

	FY Year 3	FY Year 2
Common shares outstanding at fiscal year end	3,000,000	1,000,000
Common shares outstanding throughout the period	3,000,000	1,000,000

Note 4 — Earnings Per Share

(a) Accounting Policy. Basic earnings per common share is computed by dividing net income attributable to common shareholders (i.e., net income less preferred stock dividends declared for the period) by the weighted average number of common shares outstanding during the period. The Company does not have any dilutive securities outstanding.

(b) Historical Per-Share Disclosures. Basic earnings per common share for the fiscal year ended May 31, Year 2 was \$4.80 as originally reported (computed using 1,000,000 weighted average common shares outstanding, prior to the June 1, Year 2 three-for-one stock split). On a basis retrospectively restated to give effect to the June 1, Year 2 three-for-one stock split, basic earnings per common share for the fiscal year ended May 31, Year 2 was \$1.60.

(c) Current Period Inputs. The components used in the computation of basic earnings per common share for the fiscal year ended May 31, Year 3 are detailed in the following table. The Year 3 amounts reflect the post-stock-split common share count and the post-redemption preferred dividend obligation.

Component	FY Year 3
Net income	\$ 5,500,000
Less: Preferred dividends declared during FY Year 3	\$ 100,000
Net income attributable to common shareholders	\$ 5,400,000
Weighted average common shares outstanding, FY Year 3	3,000,000